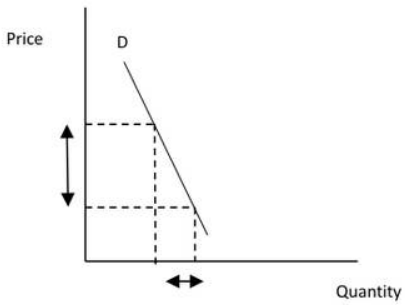
Type MS · Privatisation: effects on stakeholders and the economy

Answer 1 of 19 · Question 3 part d · 6 marks

2024 JUN · Paper 01 (regional R) · extract 1 of 5 · find part d in this mark scheme extract

3(a)	**AO1 1 mark** The only correct answer is: A Farmer B is not correct because this is secondary C is not correct because this is tertiary D is not correct because this is the tertiary sector	**(1)**

Question number	Total revenue can be defined as the quantity of goods sold **Answer**	**Mark**
3(b)	**AO1 1 mark** The only correct answer is: **C** multiplied by the price A is not correct because this does not allow total revenue to be calculated B is not correct because this does not define total revenue D is not correct because this does not calculate revenue	**(1)**

Question number	Using the diagram below, draw a diagram to show a demand curve that has price inelastic demand. Label the curve and show the impact on both axes from a change in price. **Answer**	**Mark**
3(c)	**AO2 3 marks** Award 1 mark for drawing inelastic demand curve, labelled Award 1 mark for showing greater price change on the axis Award 1 mark for showing a smaller change in the quantity on the axis  	**(3)**

Type MS · Privatisation: effects on stakeholders and the economy

Answer 1 of 19 · Question 3 part d · 6 marks

2024 JUN · Paper 01 (regional R) · extract 2 of 5 · find part d in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse the possible advantages of privatisation for TAP Air. **Indicative content**
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Privatisation is the act of selling a firm controlled by the government to private investors • TAP Air may benefit from investment in the airline from private investors wanting to put a structure in place capable of maximising profit • This means that there may be more money available to allow the airline to become more established and increase sales of flights to passengers, possibly expanding further than the operations in Portugal • In addition, an objective of profit maximisation may enable efficiency to improve within the airline and lower costs • Greater efficiency may also be enjoyed through less bureaucracy and political interference from the Portuguese Government, especially if the new owners are more experienced in operating an airline

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Privatisation: effects on stakeholders and the economy

Answer 1 of 19 · Question 3 part d · 6 marks

2024 JUN · Paper 01 (regional R) · extract 3 of 5 · find part d in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess whether an increase in the price of Prime Hydration is always likely to lead to an increase in total revenue for retailers. **Indicative content**
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Price elasticity of demand (PED) measures the responsiveness of demand to a change in price • A product has an inelastic PED if the percentage change in demand is less than the percentage change in price. The greater the difference, the more price inelastic the demand for the product • At its launch, Prime Hydration was very popular, especially with teenagers, in part due to the association with celebrities KSI and Logan Paul • These factors are likely to lead to an inelastic PED, especially due to the lack of substitutes and relatively low proportion of income spent on the drink • When there is a price increase, for example from £1.99 to £8.25 (315% increase), a product with an inelastic PED is likely to lead to a higher total revenue • This is due to demand falling by a lower percentage than the increase in price • Therefore, retailers selling Prime Hydration at increased prices are likely to receive more in total revenue **AO4** • However, if availability is not guaranteed, products cannot be sold and revenue cannot be gained • Over time demand is likely to become more price elastic • This may be due to consumers finding alternative products, supply increasing or because the drink may go out of fashion and/or the YouTube celebrities may no longer be as popular • It may depend on how much the price increases because demand is based on a consumer's ability and willingness to buy the drink • Therefore, if the price was increased too much, some consumers would no longer be able to afford to buy the drink and some would no longer be willing, as other products would be more of a necessity • As a result, an increase in price of Prime Hydration may only lead to an increase in total revenue in the short term

Type MS · Privatisation: effects on stakeholders and the economy

Answer 1 of 19 · Question 3 part d · 6 marks

2024 JUN · Paper 01 (regional R) · extract 4 of 5 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Privatisation: effects on stakeholders and the economy

Answer 1 of 19 · Question 3 part d · 6 marks

2024 JUN · Paper 01 (regional R) · extract 5 of 5 · find part d in this mark scheme extract

Question number	Calculate the **total variable costs** of this order for the firm. You are advised to show your working. **Answer**	Mark

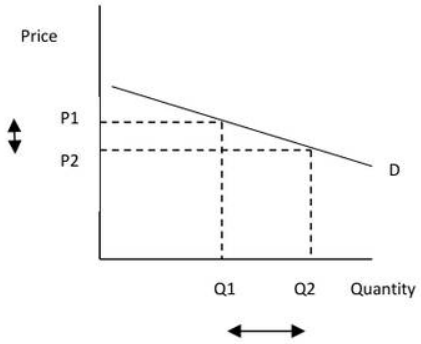
Type MS · Privatisation: effects on stakeholders and the economy

Answer 2 of 19 · Question 3 part d · 6 marks

2020 JAN · Paper 01 (regional R) · extract 1 of 5 · find part d in this mark scheme extract

3(a)	**AO1 1 mark** **A** A higher retirement age	**(1)**

Question number	Answer	Mark
3(b)	**AO1 1 mark** **D** Total costs / Output	**(1)**

Question number	Answer	Mark
3(c)	**AO2 3 marks** Award 1 mark for clearly drawing an elastic demand curve Award 1 mark for showing smaller price change from P_1 to P_2 on the axis Award 1 mark for showing a greater change in the quantity Q_1 to Q_2 on the axis  	**(3)**

Type MS · Privatisation: effects on stakeholders and the economy

Answer 2 of 19 · Question 3 part d · 6 marks

2020 JAN · Paper 01 (regional R) · extract 2 of 5 · find part d in this mark scheme extract

Question number	Indicative content	
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Privatisation is the transfer of activities from the public sector to the private sector • The sale of previously government-owned assets can help the budget of a government • Almost €1bn revenue was raised by the Slovenian Government, meaning that it is able to add funding to the country's pension system, reducing the need to raise taxes • By selling government-owned assets the government may not have as much debt in the future and would therefore reduce interest payments on the national debt • This would allow the government to use any other revenue to support other elements of government spending, such as education or health care	
Level	**Mark**	**Descriptor**
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Privatisation: effects on stakeholders and the economy

Answer 2 of 19 · Question 3 part d · 6 marks

2020 JAN · Paper 01 (regional R) · extract 3 of 5 · find part d in this mark scheme extract

Question number	Indicative content
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Price elasticity of supply (PES) measures the responsiveness of supply to a change in price • A product has an elastic PES if the percentage change in supply is greater than the percentage change in price. The greater the difference, the more price elastic the supply of the product • Supply of cars does not depend on natural factors such as the weather whereas it does for organic strawberries, meaning it is easier to change supply of cars in response to a change in price • Organic strawberries are perishable and need time to grow but cars can be stored, meaning the supply of organic strawberries is less likely to change in response to a change in price compared to the supply of cars • Cars are more price elastic because unless you are operating at full capacity it is possible to work an extra shift and increase production **AO4** • However, it takes time and a large amount of technical equipment to build cars making it more difficult to change production to respond to a change in price • There is a high cost involved when producing cars so firms may not be able to afford to make them to store. This may make the supply of cars less price elastic • It may depend on the growing conditions in the Republic of Korea whether the farms can adjust growing in response to a change in price • There are 28,951 organic farms in the country which may collectively allow the farmers of organic strawberries to be more responsive to price changes • Supply of organic strawberries might be more price elastic in the short run but in the long run car manufacturers may be able to adjust production facilities to respond to changes in price more quickly

Type MS · Privatisation: effects on stakeholders and the economy

Answer 2 of 19 · Question 3 part d · 6 marks

2020 JAN · Paper 01 (regional R) · extract 4 of 5 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Privatisation: effects on stakeholders and the economy

Answer 2 of 19 · Question 3 part d · 6 marks

2020 JAN · Paper 01 (regional R) · extract 5 of 5 · find part d in this mark scheme extract

Question number	Answer	Mark

Type MS · Privatisation: effects on stakeholders and the economy

Answer 3 of 19 · Question 1 part b · 1 mark

2020 JAN · Paper 02 (regional R) · extract 1 of 6 · find part b in this mark scheme extract

1(a)	**AO1 1 marks** **B** Inflation rate	**(1)**

Question Number	**Answer**	Mark
1(b)	**AO1 1 mark** **C** privatisation	**(1)**

Question Number	**Answer**	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to economic cycle and 1 mark for reference to high levels of economic activity/employment A phase in the economic cycle **(1)** with the highest levels of economic activity/with the highest levels of employment **(1)**. Accept any other appropriate response.	**(2)**

Question Number	**Answer**	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to time and effort and 1 mark for reference to purchasing goods The costs to firms and consumers of searching for the lowest prices **(1)** when inflation is high/prices are rising rapidly **(1)**. Accept any other appropriate response.	**(2)**

Type MS · Privatisation: effects on stakeholders and the economy

Answer 3 of 19 · Question 1 part b · 1 mark

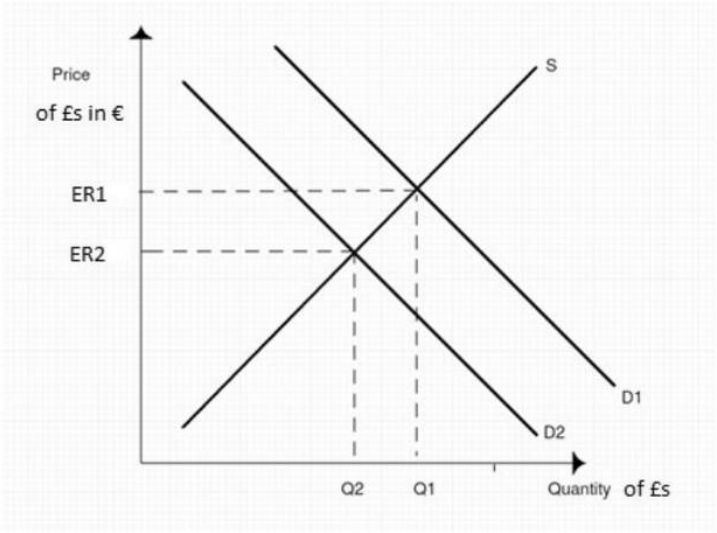
2020 JAN · Paper 02 (regional R) · extract 2 of 6 · find part b in this mark scheme extract

Question Number	Answer	Mark
1(e)	**A02 2 marks** Award 1 mark for showing the calculation. 150 000 x 70.66 INR **(1)** Award 1 mark for the correct answer. = 10 599 000 INR **(1)** Award 2 marks if the correct answer of 10 599 000 INR is shown, with Indian Rupee symbol, even if no calculations are shown. Award 1 mark if correct answer is shown, but with no Indian Rupee symbol, even if no calculations are shown. Do not award marks for the formula.	**(2)**

Type MS · Privatisation: effects on stakeholders and the economy

Answer 3 of 19 · Question 1 part b · 1 mark

2020 JAN · Paper 02 (regional R) · extract 3 of 6 · find part b in this mark scheme extract

Question Number	Answer	Mark
1(f)	**AO2 3 marks** Award 1 mark for leftward shift of demand, labelled Award 1 mark for lower equilibrium price, labelled Award 1 mark for lower equilibrium quantity, labelled  	**(3)**

Type MS · Privatisation: effects on stakeholders and the economy

Answer 3 of 19 · Question 1 part b · 1 mark

2020 JAN · Paper 02 (regional R) · extract 4 of 6 · find part b in this mark scheme extract

Question Number	Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is to gain market share **(1).** Barley producers in China might be forced out of production **(1)** resulting in a higher market share for Australian barley producers **(1).** • One reason is to get rid of surplus goods **(1).** Australia may have produced too much barley in one year **(1).** Reducing the price may result in higher demand for Australian barley in China **(1).** Accept any other appropriate response.	**(3)**

Type MS · Privatisation: effects on stakeholders and the economy

Answer 3 of 19 · Question 1 part b · 1 mark

2020 JAN · Paper 02 (regional R) · extract 5 of 6 · find part b in this mark scheme extract

Question Number	Indicative content
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Direct taxes are government charges imposed on income and wealth • Lowering direct taxes such as income tax rates will result in employees keeping more take home pay • This increases disposable income from employment and gives an incentive to work rather than live on benefits • Increased income could be spent on more/better quality goods and services, thereby increasing standard of living in Vietnam • With greater disposable income being spent within the Vietnamese economy, output and employment may increase

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Privatisation: effects on stakeholders and the economy

Answer 3 of 19 · Question 1 part b · 1 mark

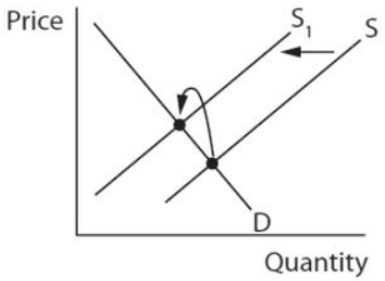
2020 JAN · Paper 02 (regional R) · extract 6 of 6 · find part b in this mark scheme extract

Question Number	**Answer**	Mark

Type MS · Privatisation: effects on stakeholders and the economy

Answer 4 of 19 · Question 2 part f · 3 marks

2020 NOV · Paper 02 · extract 1 of 5 · find part f in this mark scheme extract

2(a)	**AO2 1 mark** **C**  	**(1)**

Question Number	Answer	Mark
2(b)	**AO1 1 mark** **A** Deregulation	**(1)**

Question Number	Answer	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** correct disadvantage • Foreign competition • Increasing unemployment Accept any other appropriate responses	**(1)**

Question Number	Answer	Mark
2(d)	**AO1 2 marks** Award 1 mark for reference to price of a currency and 1 mark for reference to another currency The price of one currency **(1)** in terms of another currency **(1)** Accept any other appropriate response	**(2)**

Type MS · Privatisation: effects on stakeholders and the economy

Answer 4 of 19 · Question 2 part f · 3 marks

2020 NOV · Paper 02 · extract 2 of 5 · find part f in this mark scheme extract

Question Number	Answer	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is that there may be increased demand for German exports **(1)** if consumers overseas are responsive to the cheaper export prices **(1)**. This has a positive impact on the current account of Germany if there is an overall increase in net exports **(1)** • One reason is that this may reduce the quantity of imports into Germany **(1)** as it is now relatively more expensive to import goods due to the fall in the euro **(1)**. This could result in a decrease in net imports **(1)** Accept any other appropriate response	**(3)**

Question Number	Answer	Mark
2(f)	**AO2 3 marks** Award 1 mark for identifying a possible way Award 1 mark for developing the possible way Award 1 mark for the response being in context • One way is that privatisation introduces competition into the airport market **(1)**. It creates incentives to lower unit costs **(1)** to increase productivity and profit **(1)** • One way is that privatisation may improve the quality of the factors of production of airports **(1)**. This means that an airport can produce more services **(1)** without increasing inputs **(1)** Accept any other appropriate response	**(3)**

Type MS · Privatisation: effects on stakeholders and the economy

Answer 4 of 19 · Question 2 part f · 3 marks

2020 NOV · Paper 02 · extract 3 of 5 · find part f in this mark scheme extract

Question Number	Indicative content	Mark
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Benefit payments are payments given to people to ensure they have a minimum standard of living • These include benefits such as unemployment benefit, state pension and in this case, child benefit • The advantages are that benefit payments help to reduce inequality and reduce relative poverty as the money is given directly to people on no or low-incomes • Benefit payments will give those on low income a better living standard and help contribute to a more cohesive society • Canada estimates that 300,000 children have been lifted out of poverty due to the child benefit payments • This could be due to more working mothers being able to return to work and therefore being able to contribute to society **AO4** • However, increasing welfare benefits creates a disincentive to work • Many families may face the poverty trap and are often better off on benefits than working • The cost of the benefits has to be borne by society so there is often an opportunity cost to a country from using benefit payment to redistribute income • Not all people are entitled to receive the child benefit which could result in resentment • There are other methods which might be more effective in redistributing income, such as progressive taxation or investment in education • The Canadian Government should use a combination of methods to reduce inequality and poverty	**(9)**

Type MS · Privatisation: effects on stakeholders and the economy

Answer 4 of 19 · Question 2 part f · 3 marks

2020 NOV · Paper 02 · extract 4 of 5 · find part f in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–3**	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	**4–6**	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	**7–9**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Privatisation: effects on stakeholders and the economy

Answer 4 of 19 · Question 2 part f · 3 marks

2020 NOV · Paper 02 · extract 5 of 5 · find part f in this mark scheme extract

Question Number	**Answer**	Mark

Type MS · Privatisation: effects on stakeholders and the economy

Answer 5 of 19 · Question 2 part f · 2 marks

2021 JUN · Paper 01 · extract 1 of 6 · find part f in this mark scheme extract

2(a)	**AO2 1 mark** The only correct answer is: **C** Y -0.5 A is not correct because it shows elastic demand B is not correct because this shows unitary elasticity D is not correct because the responsiveness is equal	**(1)**

Question Number	Which **one** of the following is the formula for calculating average cost? Answer	Mark
2(b)	**AO1 1 mark** The only correct answer is: Total cost **C** ---------- Quantity produced A is not correct because not only fixed cost is included B is not correct because revenue is not used in this calculation D is not correct because not only variable cost is included	**(1)**

Question Number	State **one** reason why governments intervene in the economy. Answer	Mark
2(c)	**AO1 1 mark** Award 1 mark for a suitable reason • To correct market failure • Lack of competition • Lack of information Accept any other appropriate response	**(1)**

Type MS · Privatisation: effects on stakeholders and the economy

Answer 5 of 19 · Question 2 part f · 2 marks

2021 JUN · Paper 01 · extract 2 of 6 · find part f in this mark scheme extract

Question Number	Calculate the **profit or loss** for the firm for each pair of shoes. You are advised to show your working. Answer	Mark
2(d)	**AO2 2 marks** Award 1 mark for showing correct calculation $89 - ($17 + $35) **(1)** Award 1 mark for correct profit = $37 **(1)** Award 2 marks if profit is correctly calculated as $37, even if no calculations are shown Award 1 mark if the answer given is 37 with or without calculations shown Do not award marks for a formula	**(2)**

Question Number	Define the term fine. Answer	Mark
2(e)	**AO1 1 mark** Award 1 mark for a correct definition A financial penalty Accept any other appropriate response	**(1)**

Question Number	Describe **one** benefit to consumers of privatisation. Answer	Mark
2(f)	**AO1 2 marks** Award 1 mark for reference to the benefit and 1 mark for development of the benefit Firms are likely to offer lower prices **(1)** because they are trying to attract custom away from competitors **(1)** Accept any other appropriate response	**(2)**

Type MS · Privatisation: effects on stakeholders and the economy

Answer 5 of 19 · Question 2 part f · 2 marks

2021 JUN · Paper 01 · extract 3 of 6 · find part f in this mark scheme extract

Question Number	Explain **one** reason why Microsoft might have patents on its designs. Answer	Mark
2(g)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is that it would prevent competitors copying the designs **(1)** meaning Microsoft could charge higher prices to help recover the cost of research and development **(1)** needed to create the new computer software **(1)** Accept any other appropriate response	**(3)**

Type MS · Privatisation: effects on stakeholders and the economy

Answer 5 of 19 · Question 2 part f · 2 marks

2021 JUN · Paper 01 · extract 4 of 6 · find part f in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess whether a firm, such as a fast food restaurant, always benefits from using division of labour. Indicative content
2(h)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Division of labour is where the production process is split into small tasks • It means that each worker can specialise on a single part of the production process, such as chopping lettuce to put in burgers or peeling potatoes to make the fries • This means they can become more skilled at that particular task and removes the need to move around the kitchen as much • Employees are therefore much faster, increasing efficiency and reducing cost per unit for firms • Employees may also enjoy their job more because they are better at it, making them more motivated and increasing productivity • Therefore customers at the fast food restaurants can be served more quickly, in-keeping with the concept of 'fast food' and leading to higher profits for the firm **AO4** • However, employees may find repeating the same task boring, especially if it is something straightforward such as frying burgers • Therefore they may actually become demotivated instead and this could increase staff turnover • This could lead to a decrease in productivity and/or higher costs for the restaurant if it needs to replace employees • Mistakes or slow production at one stage (such as chopping lettuce) may hold up a later stage and therefore customers would still need to wait for their orders

Type MS · Privatisation: effects on stakeholders and the economy

Answer 5 of 19 · Question 2 part f · 2 marks

2021 JUN · Paper 01 · extract 5 of 6 · find part f in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Privatisation: effects on stakeholders and the economy

Answer 5 of 19 · Question 2 part f · 2 marks

2021 JUN · Paper 01 · extract 6 of 6 · find part f in this mark scheme extract

Question Number	Which **one** of the following factors may cause a shift of the demand curve? Answer	Mark

Type MS · Privatisation: effects on stakeholders and the economy

Answer 6 of 19 · Question 4 part c · 12 marks

2021 NOV · Paper 01 · extract 1 of 4 · find part c in this mark scheme extract

4(a)	**AO2 2 marks** Award 1 mark for showing correct calculation $\frac{87\,100 - 80\,750}{80\,750} \times 100$ **OR** $\frac{6\,350}{80\,750} \times 100$ **(1)** Award 1 mark for correct percentage change = 7.86% **(1)** Award 2 marks if percentage change is accurately calculated as 7.86%, even if no calculations are shown Award 1 mark if the answer given is 7.86 with or without calculations shown Do not award marks for a formula	**(2)**

Question number	Indicative content
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • An oligopoly is a market that is dominated by a few large firms • There are a few large trekking firms and a few smaller ones • Differentiation is a feature of an oligopoly • The small trekking firms differentiate by offering different routes and guide skills such as speaking different languages • By offering something different the small trekking firms are able to use non-price competition to attract a share of the tourists who wish to trek in Nepal • Barriers to entry are a feature of an oligopoly • Permits are required by trekking firms but are expensive and this is a possible barrier to entry for new firms

Type MS · Privatisation: effects on stakeholders and the economy

Answer 6 of 19 · Question 4 part c · 12 marks

2021 NOV · Paper 01 · extract 2 of 4 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Privatisation: effects on stakeholders and the economy

Answer 6 of 19 · Question 4 part c · 12 marks

2021 NOV · Paper 01 · extract 3 of 4 · find part c in this mark scheme extract

Question number	Indicative content
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • Privatisation involves the sale of state-owned resources to the private sector • The Indian Government wants to sell the airline Air India to private investors • This means that the airline would no longer be controlled by the government and would be more likely to pursue different objectives, such as making a profit • It may mean Air India would be more likely to reverse the current loss and to be able to pay for its fuel • Private investors may bring increased investment to the airline, meaning it is able to offer increased flights to destinations in countries in Africa and the rest of Asia • This would increase Air India's competitiveness with other airlines already flying to a higher number of destinations • Therefore, this would complement a new objective to make a profit • This is more likely to be achievable as the new owner(s) may have more experience and skills in managing an airline than the government **AO4** • However, the Indian Government has reduced the debt faced by Air India in the past and therefore could leave the airline struggling to meet its costs without assistance from the state • There is already a lot of competition from other airlines meaning the changes may not lead to benefits for Air India; it may be out of the airline's control • As oil companies have struggled to receive payment for fuel in the past, they may be reluctant to supply the firm, even with new owners • This could mean that Air India needs to prioritise different objectives before looking to make a profit and/or establish new routes • It may depend on the level of investment from the new private owner(s) as well as their personal objectives • In the short term it may be more difficult for Air India to make a profit but this may be easier in the long term if the private owner(s) can use their skills and experience to the benefit of the airline

Type MS · Privatisation: effects on stakeholders and the economy

Answer 6 of 19 · Question 4 part c · 12 marks

2021 NOV · Paper 01 · extract 4 of 4 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

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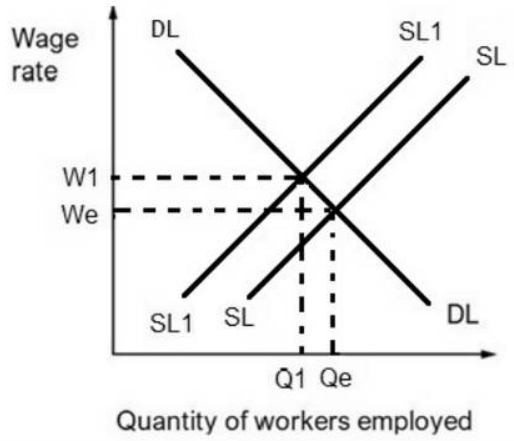
Type MS · Privatisation: effects on stakeholders and the economy

Answer 7 of 19 · Question 3 part a · 1 mark

2022 JUN · Paper 01 · extract 1 of 5 · find part a in this mark scheme extract

3(a)	**AO1 1 mark** The only correct answer is: **D** Privatisation A is not correct because this is the creation of new land from drained wetlands B is not correct because this is the creation of a new product from an idea C is not correct because this is where an enterprise previously part of the private sector is taken into state ownership	**(1)**

Question number	Answer	Mark
3(b)	**AO1 1 mark** The only correct answer is: **B** Farmer A is not correct because it is a service C is not correct because it is not production involving extraction of raw materials from the earth D is not correct because it in the tertiary sector	**(1)**

Question number	Answer	Mark
3(c)	**AO2 3 marks** Award 1 mark for leftward shift of labour supply, labelled Award 1 mark for higher equilibrium wage rate, labelled Award 1 mark for lower equilibrium quantity of workers employed, labelled  	**(3)**

Type MS · Privatisation: effects on stakeholders and the economy

Answer 7 of 19 · Question 3 part a · 1 mark

2022 JUN · Paper 01 · extract 2 of 5 · find part a in this mark scheme extract

Question number	Indicative content
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • The PPF shows the combinations of goods which can be produced with all available resources • An increase in the ability to produce both capital and consumer goods is shown due to the outward shift of the PPF • Economic growth would allow this to happen as there is likely to be an increase in economic resources and improvements in technology over time • With the increase in resources and efficiency, it would be possible to increase production of both capital and consumer goods without the sacrifice of the other • This means that more agricultural goods and copper could be produced and more construction could take place, without the need to shift resources to alternative production

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Privatisation: effects on stakeholders and the economy

Answer 7 of 19 · Question 3 part a · 1 mark

2022 JUN · Paper 01 · extract 3 of 5 · find part a in this mark scheme extract

Question number	Indicative content
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • External costs are negative spillover effects of consumption or production • Brick production creates an external cost because it affects third parties in a negative way • This is because it emits smoke and dust into the air which is then breathed in by people in Bangladesh • Demand for bricks is increasing, causing an increase in air pollution • The health of children and the elderly can be affected by this pollution but they are not involved in the production of bricks • Government may have to increase spending on health provision • Brick production contributes considerably to Bangladesh's severe air pollution problem, creating an external cost **AO4** • However, many people in Bangladesh will be customers of the construction industry and the bricks produced • Therefore, these people are not necessarily third parties and so costs of producing bricks may not be external costs (they create private benefits too) • It is sometimes difficult to quantify the external costs and so impossible to know whether the elderly or those with a heart condition have been negatively affected by the costs of producing bricks • Over one million people are employed in the brick production industry in Bangladesh • Therefore, it could be argued the extent to which the costs of producing bricks in Bangladesh are external, is limited

Type MS · Privatisation: effects on stakeholders and the economy

Answer 7 of 19 · Question 3 part a · 1 mark

2022 JUN · Paper 01 · extract 4 of 5 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Privatisation: effects on stakeholders and the economy

Answer 7 of 19 · Question 3 part a · 1 mark

2022 JUN · Paper 01 · extract 5 of 5 · find part a in this mark scheme extract

Question number	Answer	Mark

Type MS · Privatisation: effects on stakeholders and the economy

Answer 8 of 19 · Question 1 part h · 3 marks

2023 JAN · Paper 01 (regional R) · extract 1 of 5 · find part h in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **A** Land B is not correct because labour is a human resource C is not correct because capital is a man-made resource D is not correct because enterprise is the element of risk	**(1)**

Question number	A firm has total costs of $700. It sells 300 items at a price of $20 each. What is the profit for the firm? **Answer**	**Mark**
1(b)	**AO2 1 mark** The only correct answer is: **A** $5 300 B is not correct because this is 300 x $20 C is not correct because this is ($700 x $20) - 300 D is not correct because this is $700 x $20	**(1)**

Question number	What is meant by the term supply? **Answer**	**Mark**
1(c)	**AO1 2 marks** Award 1 mark for reference to amount producers are willing and able to sell and 1 mark for reference to price The quantity of goods or services producers are willing and able to sell **(1)** at a given price/at a given time **(1)** Accept any other appropriate response	**(2)**

Type MS · Privatisation: effects on stakeholders and the economy

Answer 8 of 19 · Question 1 part h · 3 marks

2023 JAN · Paper 01 (regional R) · extract 2 of 5 · find part h in this mark scheme extract

Question number	State one type of an external economy of scale. **Answer**	Mark
1(d)	**AO1 1 mark** Award 1 mark for correct type • Skilled labour/infrastructure/access to suppliers/similar businesses in area Accept any other appropriate response	**(1)**

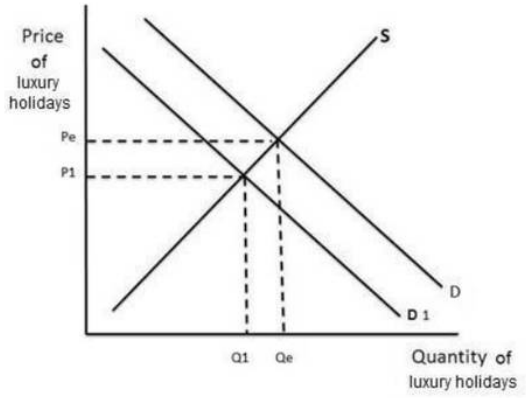
Question number	Define the term unique product. **Answer**	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition A good/service for which there is no substitute Accept any other appropriate response	**(1)**

Question number	Calculate the price elasticity of supply (PES) for Connor's hair salon. You are advised to show your working. **Answer**	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation 2.6%/2% **(1)** Award 1 mark for correct PED = 1.3 **(1)** Award 2 marks if PES is correctly calculated as 1.3, even if no calculations are shown Do not award marks for a formula	**(2)**

Type MS · Privatisation: effects on stakeholders and the economy

Answer 8 of 19 · Question 1 part h · 3 marks

2023 JAN · Paper 01 (regional R) · extract 3 of 5 · find part h in this mark scheme extract

Question number	Using the diagram below, draw the likely effect on the market for luxury holidays after a fall in income. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for leftward shift of demand, labelled Award 1 mark for lower equilibrium price, labelled Award 1 mark for lower equilibrium quantity, labelled  	(3)

Question number	Explain one possible disadvantage of privatisation for workers in the telecoms industry in Angola. **Answer**	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying a disadvantage Award 1 mark for developing the response Award 1 mark for the response being in context • Workers may be made redundant as a result of privatisation **(1)** because private firms are likely to want the telecoms industry to reduce costs **(1)** in order to increase efficiency **(1)** Accept any other appropriate response	(3)

Type MS · Privatisation: effects on stakeholders and the economy

Answer 8 of 19 · Question 1 part h · 3 marks

2023 JAN · Paper 01 (regional R) · extract 4 of 5 · find part h in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse the impact on the economy after a movement from A to B on the production possibility curve (PPC). **Indicative content**
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • A PPC shows the combination of goods that can be produced with all available resources • The maximum productive potential of the economy can be seen at point A on the PPC, where if 350 million units of capital goods are produced, 160 million units of consumer goods can be produced • If the number of capital goods produced increases to 450 million units it is not possible to continue to produce 160 million units of consumer goods • The number of consumer goods produced must fall by 30 million units, to 130 million units. This is shown at point B. (There is an opportunity cost) • As the number of capital goods produced increases, there will be an increase in the productive capacity of the economy • Because the economy can now produce more, the PPC will shift outwards allowing an increase in the number of capital goods and consumer goods to be produced in the future • An outward shift of the PPC indicates positive economic growth of the economy

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Privatisation: effects on stakeholders and the economy

Answer 8 of 19 · Question 1 part h · 3 marks

2023 JAN · Paper 01 (regional R) · extract 5 of 5 · find part h in this mark scheme extract

Question number	Which one of the following options best describes the demand for the product? **Answer**	**Mark**

Type MS · Privatisation: effects on stakeholders and the economy

Answer 9 of 19 · Question 2 part d · 2 marks

2023 JAN · Paper 02 · extract 1 of 6 · find part d in this mark scheme extract

2(a)	**AO1 1 mark** The only correct answer is: **C** invisible exports A is not correct because this is trade in goods leaving the country B is not correct because this is trade in goods entering the country D is not correct because this is money leaving the country	**(1)**

Question Number	Which **one** of the following is likely to help protect the environment? **Answer**	Mark
2(b)	**AO1 1 mark** The only correct answer is: **A** An increase in fines B is not correct because this will allow more pollution C is not correct because this will reduce control of pollution D is not correct because this will reduce protected areas of the environment	**(1)**

Question Number	State **one** possible disadvantage of economic growth. **Answer**	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** correct disadvantage • Inflation • Damage to the environment • Using up unsustainable resources Accept any other appropriate response	**(1)**

Type MS · Privatisation: effects on stakeholders and the economy

Answer 9 of 19 · Question 2 part d · 2 marks

2023 JAN · Paper 02 · extract 2 of 6 · find part d in this mark scheme extract

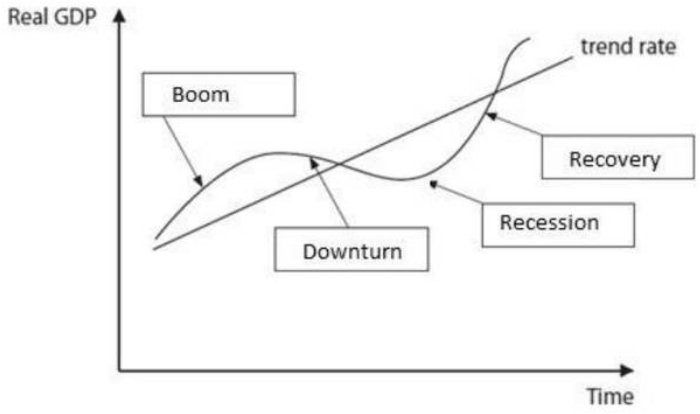
Question Number	What is meant by the term privatisation? **Answer**	Mark
2(d)	**AO1 2 marks** Award 1 mark for reference to selling a government controlled activity and 1 mark to private investors The act of selling a company/activity controlled by the government **(1)** to private investors **(1)** Accept any other appropriate response	**(2)**

Question Number	Explain **one** possible reason why the Scottish Government wants to reduce poverty and inequality. **Answer**	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is to meet basic needs **(1)**. Many people do not have enough income for food and shelter **(1)**. By investing £37.2m fewer low income households may suffer from poverty **(1)** • One reason is to raise standards of living **(1).** Low income households would be able to access more goods and services **(1)** resulting in fewer low income households suffering from relative poverty **(1)** Accept any other appropriate response	**(3)**

Type MS · Privatisation: effects on stakeholders and the economy

Answer 9 of 19 · Question 2 part d · 2 marks

2023 JAN · Paper 02 · extract 3 of 6 · find part d in this mark scheme extract

Question Number	Using the diagram below, draw and label the remaining **three** stages of the economic cycle in the boxes on the diagram. **Answer**	Mark
2(f)	**AO2 3 marks** Award 1 mark for downturn, labelled Award 1 mark for recession, labelled Award 1 mark for recovery, labelled  	**(3)**

Type MS · Privatisation: effects on stakeholders and the economy

Answer 9 of 19 · Question 2 part d · 2 marks

2023 JAN · Paper 02 · extract 4 of 6 · find part d in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the likely impact on the demand for US exports to Australia after the depreciation of the US dollar. **Indicative content**	Mark
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • A depreciation is where the value of currency falls relative to another currency • A depreciation of the US dollar against the Australian dollar may result in an increase in the amount of exports of goods between the US and Australia • This is because US exports are now cheaper to purchase as fewer Australian dollars are required to be exchanged for US dollars • This could result in more exports of machinery, vehicles, medical instruments and aircraft between the two countries • This could further improve the trade balance between the US and Australia if more exports are traded compared to imports **AO4** • However, a depreciation of the US dollar may not result in an overall increase in exports of goods between the US and Australia • The impact will depend on the size and duration of the depreciation • The impact will also depend on PED for US exports • The amount of goods traded between the two countries will not just depend on the exchange rate between the US and Australia • The quality of US exports is a factor in whether Australia will purchase more US made goods, not just the exchange rate	**(9)**

Type MS · Privatisation: effects on stakeholders and the economy

Answer 9 of 19 · Question 2 part d · 2 marks

2023 JAN · Paper 02 · extract 5 of 6 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Privatisation: effects on stakeholders and the economy

Answer 9 of 19 · Question 2 part d · 2 marks

2023 JAN · Paper 02 · extract 6 of 6 · find part d in this mark scheme extract

Question Number	What was the rate of inflation if the consumer price index (CPI) of a country rose from 120 to 150? **Answer**	Mark

Type MS · Privatisation: effects on stakeholders and the economy

Answer 10 of 19 · Question 1 part c · 2 marks

2023 JUN · Paper 01 · extract 1 of 5 · find part c in this mark scheme extract

1(a)	**AO2 1 mark** The only correct answer is: **B** Positive economic growth A is not correct because this would shift the PPF inwards C is not correct because it does not show long-run average costs increasing with a rise in output D is not correct because it does not show long-run average costs decreasing with a rise in output	**(1)**

Question number	A firm has total costs of $10 000 and sells each item at a price of $100. It sells 200 items. What is the **profit or loss** for the firm? **Answer**	**Mark**
1(b)	**AO2 1 mark** The only correct answer is: **B** $10 000 profit A is not correct because total costs have not been deducted C is not correct because a profit would be made and not a loss D is not correct because this is $10 000 - $20 000	**(1)**

Question number	What is meant by the term privatisation? **Answer**	**Mark**
1(c)	**AO1 2 marks** Award 1 mark for reference to moving from the public sector and 1 mark for reference to transfer of ownership to the private sector The government sells/transfers an organisation (in the public sector) **(1)** to the private sector **(1)** Accept any other appropriate response	**(2)**

Type MS · Privatisation: effects on stakeholders and the economy

Answer 10 of 19 · Question 1 part c · 2 marks

2023 JUN · Paper 01 · extract 2 of 5 · find part c in this mark scheme extract

Question number	State **one** reason why the government regulates competition in the economy. **Answer**	Mark
1(d)	**AO1 1 mark** Award 1 mark for a correct reason • To promote competition • To limit monopoly power • To protect consumer interests • To control mergers and takeovers Accept any other appropriate response	**(1)**

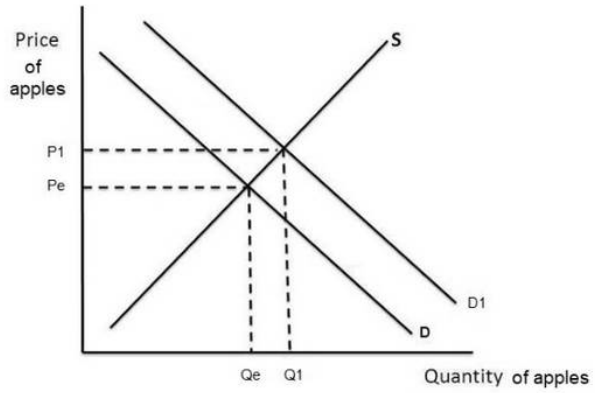
Question number	Define the term congestion. **Answer**	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition A situation where a place is crowded Accept any other appropriate response	**(1)**

Question number	Calculate the **total variable costs** for the firm each month. You are advised to show your working. **Answer**	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation €16 500 + €95 000 **(1)** Award 1 mark for correct total variable costs €111 500 **(1)** Award 2 marks if total variable costs per month are correctly calculated as €111 500, even if no calculations are shown Award 1 mark for 111 500 with or without calculations shown Do not award marks for a formula	**(2)**

Type MS · Privatisation: effects on stakeholders and the economy

Answer 10 of 19 · Question 1 part c · 2 marks

2023 JUN · Paper 01 · extract 3 of 5 · find part c in this mark scheme extract

Question number	Using the diagram below, draw the likely effects on the market for apples following an increase in the advertising of apples. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for rightward shift of demand, labelled Award 1 mark for higher equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

Question number	Explain **one** advantage of using division of labour for the firm. **Answer**	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying an advantage Award 1 mark for developing the response Award 1 mark for the response being in context • Production is more efficient **(1)** because workers at the factory will not need to change tools repeatedly to do a different task **(1)** meaning the quantity of tennis balls produced could increase **(1)** • Workers specialising in one task become better at that task **(1)** making them more productive **(1)** and helping to lower the average costs of producing each tennis ball **(1)** Accept any other appropriate response	**(3)**

Type MS · Privatisation: effects on stakeholders and the economy

Answer 10 of 19 · Question 1 part c · 2 marks

2023 JUN · Paper 01 · extract 4 of 5 · find part c in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse how all four factors of production might be used to produce drinking water in the Canary Islands. **Indicative content**
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • The four factors of production are land, labour, capital and enterprise • Sea water is a natural resource, which is land • The salt is removed by filtering the water through machines in order to make the water drinkable, which is capital • The process of ensuring all the salt and impurities have been removed from the water is done by labour (production workers) • Enterprise combines the other factors of production to make sure the water gets to the consumer as a consumable product • Thus, all four factors of production may be used to produce drinking water as, without any one of them the process would not be completed as efficiently

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Privatisation: effects on stakeholders and the economy

Answer 10 of 19 · Question 1 part c · 2 marks

2023 JUN · Paper 01 · extract 5 of 5 · find part c in this mark scheme extract

Question number	Which **one** of the following would occur when there are unsold goods in a market? **Answer**	Mark

Type MS · Privatisation: effects on stakeholders and the economy

Answer 11 of 19 · Question 3 part e · 9 marks

2023 JUN · Paper 02 · extract 1 of 5 · find part e in this mark scheme extract

3(a)	**AO1 1 mark** The only correct answer is: **C** an increase in inflation A is not correct because tax revenues are likely to rise as more people have jobs/ firms are making more profit B is not correct because economic growth is likely to increase as more people are in employment D is not correct because relative poverty should decrease as more people have income from a job	**(1)**

Question Number	Which **one** of the following is a possible disadvantage of Foreign Direct Investment (FDI)? Answer	Mark
3(b)	**AO1 1 mark** The only correct answer is: **B** Greater environmental damage A is not correct because this is an advantage of FDI C is not correct because this is an advantage of FDI D is not correct because this is an advantage of FDI	**(1)**

Question Number	Explain **one** reason why an increase in the quality of foreign goods may have resulted in a negative impact on the US current account. Answer	Mark
3(c)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is demand may have increased for imports **(1)** as consumers switch to imports rather than domestically produced goods as their quality has improved **(1).** This results in more money flowing out the country resulting in a negative impact on the current account deficit **(1)** Accept any other appropriate response.	**(3)**

Type MS · Privatisation: effects on stakeholders and the economy

Answer 11 of 19 · Question 3 part e · 9 marks

2023 JUN · Paper 02 · extract 2 of 5 · find part e in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, analyse the disadvantages of free trade for UK firms. Indicative content	Mark
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Free trade is a situation in which goods and services coming into or going out of a country/trade area are not controlled or taxed • The UK has agreed to end 99% of tariffs on goods from Australia • Free trade means that UK firms are no longer protected from imports from Australia that once had tariffs applied to them • Free trade means that UK firms may face greater competition from firms in Australia • UK firms may have increased competition from cheaper, lower cost firms in Australia that may have lower wage costs compared to UK firms • This could result in falling sales for UK firms that might have higher labour costs compared to Australia	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Privatisation: effects on stakeholders and the economy

Answer 11 of 19 · Question 3 part e · 9 marks

2023 JUN · Paper 02 · extract 3 of 5 · find part e in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the possible benefits of privatising the college. Indicative content	Mark
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Privatisation is the act of selling a company or activity controlled by the government to private investors • The Scottish Government has recently privatised Shetland College • Shetland College will have more control over its operations now that it is in the private sector • Shetland College cannot rely on public money and must make a profit to survive • Therefore, Shetland College will now have to compete against the other rival colleges for students in order to gain revenue • Competitive pressures should help to improve quality and reduce prices for the students using the college • Shetland College may try to compete by offering a wider range of courses to attract more people to the college • It could seek to lower the prices for its courses without the interference of the government thereby benefitting students of the college **AO4** • However, in practice, state monopolies often become private monopolies • This might be the case with the firm operating in the education market • Competitive pressures are often not forthcoming and Shetland College has simply been moved from state to private ownership without facing any new competition • Critics are concerned that the privatisation might result in fewer courses available for students • As a result consumers/students might be exploited due to poor quality and price increases as the private firm seeks to reduce costs in order to maximise profits • Workers might be negatively affected as large numbers of people are often made redundant to reduce costs • The overall impact will depend on how the college is managed and operated by the management	**(9)**

Type MS · Privatisation: effects on stakeholders and the economy

Answer 11 of 19 · Question 3 part e · 9 marks

2023 JUN · Paper 02 · extract 4 of 5 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Privatisation: effects on stakeholders and the economy

Answer 11 of 19 · Question 3 part e · 9 marks

2023 JUN · Paper 02 · extract 5 of 5 · find part e in this mark scheme extract

Question Number	Calculate, to two decimal places, the **percentage change** in the fiscal deficit for Spain between 2019 and 2020. You are advised to show your working Answer	Mark

Type MS · Privatisation: effects on stakeholders and the economy

Answer 12 of 19 · Question 1 part h · 3 marks

2023 NOV · Paper 01 · extract 1 of 5 · find part h in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **D** working conditions A is not correct because trade unions do not focus on the objectives of firms B is not correct because the government does not receive revenue due to trade union actions C is not correct because the environment is not a focus of trade union activity	**(1)**

Question number	Figure 1 below shows a change in demand for tickets to a sporting event. Which **one** of the following statements is true? **Answer**	**Mark**
1(b)	**AO2 1 mark** The only correct answer is: **C** An increase in demand is shown by a shift to the right A is not correct because when the price falls, the quantity demanded rises B is not correct because the demand curve slopes downwards from left to right D is not correct because a decrease in demand is shown by a shift to the left	**(1)**

Question number	What is meant by the term economies of scale? **Answer**	**Mark**
1(c)	**AO1 2 marks** Award up to 2 marks for a correct definition Falling average costs **(1)** due to expansion of the firm **(1)** Accept any other appropriate response	**(2)**

Type MS · Privatisation: effects on stakeholders and the economy

Answer 12 of 19 · Question 1 part h · 3 marks

2023 NOV · Paper 01 · extract 2 of 5 · find part h in this mark scheme extract

Question number	State **one** main feature of an oligopoly. **Answer**	Mark
1(d)	**AO1 1 mark** Award 1 mark for a correct feature • Few firms • Large firms dominate • Different products • Barriers to entry • Collusion • Price competition • Non-price competition Accept any other appropriate response	**(1)**

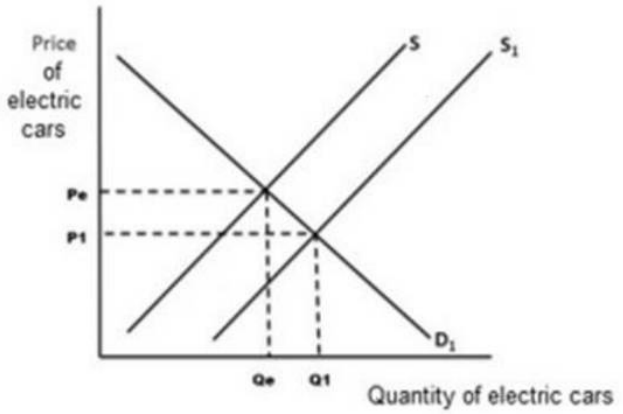
Question number	Define the term excess supply **Answer**	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition • Where supply is greater than demand Accept any other appropriate response	**(1)**

Question number	Calculate, to two decimal places, the **price elasticity of supply (PES)** for the firm. You are advised to show your working. **Answer**	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation 4.3%/3.7% **(1)** Award 1 mark for correct price elasticity of supply = 1.16 **(1)** Award 2 marks if price elasticity of supply is correctly calculated as 1.16, even if no calculations are shown Do not award marks for a formula	**(2)**

Type MS · Privatisation: effects on stakeholders and the economy

Answer 12 of 19 · Question 1 part h · 3 marks

2023 NOV · Paper 01 · extract 3 of 5 · find part h in this mark scheme extract

Question number	Using the diagram below, draw the likely effects on the market for electric cars following the introduction of a subsidy on electric cars. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	**Mark**
1(g)	**AO2 3 marks** Award 1 mark for a rightward shift of the supply curve, labelled Award 1 mark for a lower equilibrium price, labelled Award 1 mark for a higher equilibrium quantity, labelled 	**(3)**

Question number	Explain **one** possible advantage of privatisation for consumers in Brazil. **Answer**	**Mark**
1(h)	**AO2 3 marks** Award 1 mark for identifying an advantage Award 1 mark for developing the response Award 1 mark for the response being in context • Consumers may benefit from lower prices **(1)** because a private firm is likely to want to be efficient **(1)** so it will aim to produce food at its lowest possible cost **(1)** • Better quality may be available to consumers **(1)** because private firms will aim to make a profit **(1)** meaning they need to retain customers by providing quality food products **(1)** Accept any other appropriate response	**(3)**

Type MS · Privatisation: effects on stakeholders and the economy

Answer 12 of 19 · Question 1 part h · 3 marks

2023 NOV · Paper 01 · extract 4 of 5 · find part h in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse how market failure is likely to occur at the TSFG venue. **Indicative content**
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Market failure exists where resources are not allocated efficiently • Examples of market failure include externalities, missing markets, lack of information, factor immobility and lack of competition • There is a lack of competition selling food and drinks at the TSFG, meaning customers have limited choice of where to buy refreshments inside the grounds • This means higher prices can be charged because customers cannot get refreshments anywhere else • As people spend several hours at the venue, they are likely to need something to eat and/or drink during their visit • Therefore, the high prices and reduced choice leads to an inefficient allocation of resources

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Privatisation: effects on stakeholders and the economy

Answer 12 of 19 · Question 1 part h · 3 marks

2023 NOV · Paper 01 · extract 5 of 5 · find part h in this mark scheme extract

Question number	A firm employing 135 workers has a total output of 33,750 units each month. What is the monthly labour productivity of the firm? **Answer**	Mark

Type MS · Privatisation: effects on stakeholders and the economy

Answer 13 of 19 · Question 4 part b · 6 marks

2023 NOV · Paper 02 · extract 1 of 6 · find part b in this mark scheme extract

4(a)	**AO2 2 marks** Award 1 mark for showing the calculation 3,063,500 x 100 **(1)** 19,700,000 Award 1 mark for the correct answer = 15.55% **(1)** Award 2 marks if the correct answer is 15.55% even if no calculations are shown Award 1 mark if the answer given is 15.55 even if no calculations are shown Do not award marks for the formula	**(2)**

Type MS · Privatisation: effects on stakeholders and the economy

Answer 13 of 19 · Question 4 part b · 6 marks

2023 NOV · Paper 02 · extract 2 of 6 · find part b in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, analyse the possible disadvantages of the Kazakhstan Government privatising the national railway company. **Indicative content**	Mark
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Privatisation involves selling state-owned assets to the private sector • Often privatisation forces the new private companies to be efficient or at least find ways of reducing costs in order to make a profit • The most popular way of cutting costs is to reduce the size of the workforce • This would result in many railway workers losing their jobs and see an increase in the number of people unemployed in Kazakhstan • KTZ is the largest employer in Kazakhstan so privatising the railway could have a huge impact on unemployment levels in the country • KTZ's operations are already profitable therefore any future profits would be given to shareholders rather than go to the government • This might result in lower levels of investment and higher prices for railway users	**(6)**

Type MS · Privatisation: effects on stakeholders and the economy

Answer 13 of 19 · Question 4 part b · 6 marks

2023 NOV · Paper 02 · extract 3 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Privatisation: effects on stakeholders and the economy

Answer 13 of 19 · Question 4 part b · 6 marks

2023 NOV · Paper 02 · extract 4 of 6 · find part b in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, evaluate the advantages of an increase in foreign direct investment (FDI) for a country such as Kazakhstan. **Indicative content**	Mark
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • FDI is investment in one country that is made by a business, organisation or a government from another country • In 2022, Kazakhstan has received $22.1bn from countries such as the Netherlands, the US and Switzerland • Jobs may be created in Kazakhstan by the foreign firms requiring local workers for building new factories or employing workers in manufacturing or retail firms • Local firms may benefit from supplying the foreign firms with equipment or raw materials used in the production of goods and services • Often MNCs pay higher wages than local firms and help to train the local workforce with new skills and technology • Taxation from the foreign firms could be used to fund public services within the country • There could be an increase in GDP which could result in an increase in the overall of standard of living in Kazakhstan from increased FDI **AO4** • However, the advantages may come with some potential problems • Often foreign MNCs are only interested in accessing natural resources and to take advantage of lower wages • Kazakhstan has lots of oil and gas therefore this could result in damage to the environment by foreign MNCs during the extracting and mining processes • The cost of cleaning up the damage caused to the environment from mining could be left for the Kazakhstan Government • There is no guarantee that wages paid by foreign firms will be higher and working conditions may be poor • Foreign MNCs may bring their own workforce and management rather than training local workers with little opportunity for developing skills • Some MNCs might only spend a brief period of time in Kazakhstan before moving on to other countries • The overall advantages will depend upon how foreign MNCs behave in the economy	**(12)**

Type MS · Privatisation: effects on stakeholders and the economy

Answer 13 of 19 · Question 4 part b · 6 marks

2023 NOV · Paper 02 · extract 5 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Privatisation: effects on stakeholders and the economy

Answer 13 of 19 · Question 4 part b · 6 marks

2023 NOV · Paper 02 · extract 6 of 6 · find part b in this mark scheme extract

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Type MS · Privatisation: effects on stakeholders and the economy

Answer 14 of 19 · Question 4 part c · 12 marks

2024 JUN · Paper 01 · extract 1 of 6 · find part c in this mark scheme extract

4(a)	**AO2 2 marks** Award 1 mark for showing correct calculation $90 + $20 + (65 x $0.25) OR $90 + $20 + $16.25 **(1)** Award 1 mark for calculating correct total costs = $126.25 **(1)** Award 2 marks if total costs are correctly calculated as $126.25, even if no calculations are shown Award 1 mark if total costs are calculated as 126.25, even if no calculations are shown Do not award marks for the formula	**(2)**

Type MS · Privatisation: effects on stakeholders and the economy

Answer 14 of 19 · Question 4 part c · 12 marks

2024 JUN · Paper 01 · extract 2 of 6 · find part c in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse how internal economies of scale may lead to benefits for MAS Supermarkets. **Indicative content**
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Internal economies of scale, such as purchasing, marketing, technical, financial, managerial or risk bearing, occur when average costs fall as a firm expands • MAS Supermarkets has a large number of shops across Cyprus, meaning the marketing costs can be shared by multiple shops • MAS Supermarkets may benefit from purchasing economies of scale, by buying inventory in large quantities to obtain discounts • By reducing its average costs, MAS Supermarkets may be able to pass on cost-savings to its customers, allowing it to achieve the aim of offering low prices • MAS Supermarkets may be able to open more stores or make improvements to existing ones due to success with offering quality, service and low prices • This may mean it is able to benefit further from other economies of scale

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Privatisation: effects on stakeholders and the economy

Answer 14 of 19 · Question 4 part c · 12 marks

2024 JUN · Paper 01 · extract 3 of 6 · find part c in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, evaluate whether consumers are likely to benefit from the privatisation of Lagos Airport. **Indicative content**
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • Privatisation involves the sale of state-owned resources to the private sector • The Nigerian Government wants to sell Lagos airport (and three other main airports in Nigeria) to private investors • This means that the airport would no longer be controlled by the government and its owners would be more likely to pursue different objectives, such as making a profit (and making back the investment from buying the airport) • As a result, the prices may rise for consumers • The previous focus on safety and improving airport facilities may reduce, in order to cut costs for the new owners, especially as the Nigerian Government had used subsidies to help pay for these • Therefore, consumers may see an increase in problems with use of the airport and may face more risk of accidents at the airport • This issue may be more likely due to the resistance to the privatisation previously faced from trade unions, indicating the workers at the airport may be unhappy • Therefore, service may be affected leaving consumers unhappy with conditions at the airport **AO4** • However, the focus of the new owners may not change as improving safety and airport facilities to meet customer needs may be seen as ways to attract more demand and therefore increase revenue • In order to make a profit, greater efficiency is likely to be a focus for owners of Lagos Airport, meaning the delivery of services may be better, not worse • Lagos Airport is the busiest in Nigeria, with potential for increased growth in both passenger and industrial use, meaning the new owners may be able to utilise higher revenues to maintain and increase customer satisfaction • This may complement, rather than replace the objective of making a profit • This is more likely to be achievable if the new owners have more experience and skills in managing an airport than the Nigerian Government • It may depend on the level of investment from the private owners as well as their objectives

Type MS · Privatisation: effects on stakeholders and the economy

Answer 14 of 19 · Question 4 part c · 12 marks

2024 JUN · Paper 01 · extract 4 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Privatisation: effects on stakeholders and the economy

Answer 14 of 19 · Question 4 part c · 12 marks

2024 JUN · Paper 01 · extract 5 of 6 · find part c in this mark scheme extract

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Type MS · Privatisation: effects on stakeholders and the economy

Answer 14 of 19 · Question 4 part c · 12 marks

2024 JUN · Paper 01 · extract 6 of 6 · find part c in this mark scheme extract

Type MS · Privatisation: effects on stakeholders and the economy

Answer 15 of 19 · Question 1 part d · 2 marks

2024 JUN · Paper 02 (regional R) · extract 1 of 5 · find part d in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **D** Environmental damage A is not correct because MNCs invest in factories and capital equipment in other countries B is not correct because this is an advantage of MNCs C is not correct because MNCs often create new jobs when locating in another country	**(1)**

Question Number	Which **one** of the following describes voluntary unemployment? **Answer**	Mark
1(b)	**AO1 1 marks** The only correct answer is: **C** Unemployment caused by individuals choosing not to work A is not correct because this describes structural unemployment B is not correct because this describes cyclical unemployment D is not correct because this describes seasonal unemployment	**(1)**

Question Number	What is meant by the term monetary policy? **Answer**	Mark
1(c)	**AO1 2 marks** Award up to 2 marks for a correct definition Use of interest rates/money supply **(1)** to influence the level of overall demand in the economy **(1)** Accept any other appropriate response	**(2)**

Type MS · Privatisation: effects on stakeholders and the economy

Answer 15 of 19 · Question 1 part d · 2 marks

2024 JUN · Paper 02 (regional R) · extract 2 of 5 · find part d in this mark scheme extract

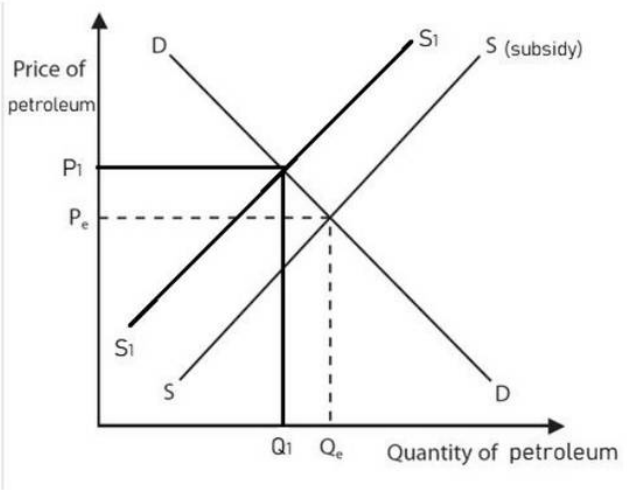
Question Number	Describe **one** advantage of privatisation for a government. **Answer**	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to an advantage for a government and 1 mark for development of an advantage for a government Generates revenue **(1)** which can help the government to invest in other areas **(1)** Accept any other appropriate response	**(2)**

Question Number	Calculate the **total amount of revenue** in £bn raised by indirect taxes in February 2023. You are advised to show your working. **Answer**	Mark
1(e)	**A02 2 marks** Award 1 mark for selecting indirect taxes from the table £14.3bn + £3.7bn + £0.4bn **(1)** Award 1 mark for the correct answer = £18.4bn **(1)** Award 2 marks if the correct answer is £18.4bn even if no calculations are shown Award 1 mark if the answer given is 18.4 even if no calculations are shown Do not award marks for the formula	**(2)**

Type MS · Privatisation: effects on stakeholders and the economy

Answer 15 of 19 · Question 1 part d · 2 marks

2024 JUN · Paper 02 (regional R) · extract 3 of 5 · find part d in this mark scheme extract

Question Number	Using the diagram below, draw the effects of the removal of the fuel subsidy on the equilibrium price and quantity of petroleum in Ghana. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
1(f)	**AO2 3 marks** Award 1 mark for a leftward shift of supply curve, labelled Award 1 mark for a higher equilibrium price, labelled Award 1 mark for a lower equilibrium quantity, labelled  	**(3)**

Type MS · Privatisation: effects on stakeholders and the economy

Answer 15 of 19 · Question 1 part d · 2 marks

2024 JUN · Paper 02 (regional R) · extract 4 of 5 · find part d in this mark scheme extract

Question Number	Explain **one** advantage of deregulation for a country such as India. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant advantage Award 1 mark for developing the advantage Award 1 mark for the response being in context • One advantage is that it can increase competition **(1)**. New telecommunications firms can more easily enter the market and compete with established companies **(1)** which can lead to lower prices/higher quality/more choice for consumers **(1)** • One advantage is that it can stimulate economic growth **(1)**. When regulations are reduced, firms pay lower taxes or fees so may have more resources to invest **(1)** which can create jobs and increase economic output **(1)** Accept any other appropriate response	**(3)**

Question Number	With reference to the data above and your knowledge of economics, analyse the advantages for UK firms of the UK joining the CPTPP trading bloc. **Indicative content**	Mark
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Trading blocs are usually groups of countries in specific regions that negotiate preferential trading agreements between themselves with reduced trade barriers • The CPTPP includes countries in the Asia-Pacific region, providing UK firms with access to new markets that they might not have been able to enter before • By joining the CPTPP, the UK firms could benefit from reduced trade barriers, making it easier and cheaper to export goods to member countries • Membership in the CPTPP could help UK firms access skilled labour in other member countries • Membership of the CPTPP could help the UK firms diversify trade relationships beyond Europe, reducing the risk of relying on a single trading partner	**(6)**

Type MS · Privatisation: effects on stakeholders and the economy

Answer 15 of 19 · Question 1 part d · 2 marks

2024 JUN · Paper 02 (regional R) · extract 5 of 5 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Question Number	Which **one** of the following is the calculation for the rate of unemployment in a country? **Answer**	Mark

Type MS · Privatisation: effects on stakeholders and the economy

Answer 16 of 19 · Question 2 part e · 2 marks

2025 JUN · Paper 01 (regional R) · extract 1 of 5 · find part e in this mark scheme extract

2(a)	**AO2 1 mark** The only correct answer is: **A** W -1.5 B is not correct because this shows unitary elasticity C is not correct because it shows inelastic demand D is not correct because it is perfectly inelastic	**(1)**

Question number	Which **one** of the following is the formula for calculating average cost? **Answer**	**Mark**
2(b)	**AO1 1 mark** The only correct answer is: **A** Total cost ÷ quantity produced B is not correct because only fixed cost is included C is not correct because only variable cost is included D is not correct because revenue is not used in this calculation	**(1)**

Question number	Calculate the **profit or loss** for the firm for each calculator. You are advised to show your working. **Answer**	**Mark**
2(c)	**AO2 2 marks** Award 1 mark for showing the correct calculation $12.50 - ($3.25 + $4.58) **(1)** Award 1 mark for calculating correct profit = $4.67 **(1)** Award 2 marks if profit is correctly calculated as $4.67, even if no calculations are shown Award 1 mark if the answer given is 4.67 with or without calculations shown Do not award marks for a formula	**(2)**

Question number	What is meant by the term patent?	**Mark**

Type MS · Privatisation: effects on stakeholders and the economy

Answer 16 of 19 · Question 2 part e · 2 marks

2025 JUN · Paper 01 (regional R) · extract 2 of 5 · find part e in this mark scheme extract

	Answer	
2(d)	**AO1 2 marks** Award up to 2 marks for a correct definition A licence to be the only producer **(1)** of a newly designed product **(1)** Accept any other appropriate response	**(2)**

Question number	Describe **one** advantage to a firm of being privatised. **Answer**	**Mark**
2(e)	**AO1 2 marks** Award 1 mark for reference to the advantage and 1 mark for development of the advantage The firm is able to set its own objectives **(1)** as it takes control over its own actions **(1)** Accept any other appropriate response	**(2)**

Question number	Explain **one** reason why the US Government may use fines to reduce the negative externalities caused by motorists who drive through a red traffic light. **Answer**	**Mark**
2(f)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • It may encourage the driver to stop. **(1)** As driving through a red traffic light may cause accidents, **(1)** fines are likely to reduce the number of accidents **(1)** • It may reduce accidents **(1)** because the driver does not want to be fined, **(1)** so they are less likely to drive through a red light **(1)** Accept any other appropriate response	**(3)**

Type MS · Privatisation: effects on stakeholders and the economy

Answer 16 of 19 · Question 2 part e · 2 marks

2025 JUN · Paper 01 (regional R) · extract 3 of 5 · find part e in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess whether a car manufacturer always benefits from using division of labour. **Indicative content**
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • By using division of labour each worker at the car manufacturing firm can specialise on a single part of the production process, such as inspection or testing • This means they can become more skilled at that particular task and removes the need to move around the factory as much • Employees are therefore much faster, increasing efficiency and reducing cost per unit for firms • Therefore, car dealers buying the vehicles and their customers can be sold the cars more quickly and/or at lower prices, potentially leading to higher revenue for the car manufacturing firm **AO4** • However, employees may find repeating the same task boring, especially if it is something straightforward such as welding a specific component • Therefore, they may actually become demotivated instead and this could increase staff turnover • This could lead to a decrease in productivity and/or higher costs for the car manufacturer if it needs to replace employees • Mistakes or slow production at one stage (such as painting) may hold up a later stage and therefore customers would still need to wait for their car orders

Type MS · Privatisation: effects on stakeholders and the economy

Answer 16 of 19 · Question 2 part e · 2 marks

2025 JUN · Paper 01 (regional R) · extract 4 of 5 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Privatisation: effects on stakeholders and the economy

Answer 16 of 19 · Question 2 part e · 2 marks

2025 JUN · Paper 01 (regional R) · extract 5 of 5 · find part e in this mark scheme extract

Question number	Which **one** of the following could cause a shift in the demand curve for a product? **Answer**	**Mark**

Type MS · Privatisation: effects on stakeholders and the economy

Answer 17 of 19 · Question 2 part f · 3 marks

2025 JUN · Paper 01 · extract 1 of 6 · find part f in this mark scheme extract

2(a)	**AO2 1 mark** The only correct answer is: **C** Y A is not correct because production is possible using all resources B is not correct because some resources are unemployed D is not correct because all resources will be fully employed	**(1)**

Question number	Which **one** of the following is a factor that may affect the supply of labour? **Answer**	**Mark**
2(b)	**AO1 1 mark** The only correct answer is: **A** Age distribution of population B is not correct because the supply of labour is not affected by economies of scale C is not correct because this may affect the demand for labour D is not correct because these will not cause changes in the supply of labour	**(1)**

Type MS · Privatisation: effects on stakeholders and the economy

Answer 17 of 19 · Question 2 part f · 3 marks

2025 JUN · Paper 01 · extract 2 of 6 · find part f in this mark scheme extract

Question number	Calculate, to two decimal places the **price elasticity of supply (PES)** for the firm. You are advised to show your working. **Answer**	Mark
2(c)	**AO2 2 marks** Award 1 mark for showing the correct calculation 5.4%/7.8% **(1)** Award 1 mark for calculating the correct PES = 0.69 **(1)** Award 2 marks if PES is correctly calculated as 0.69, even if no calculations are shown Award 1 mark if the answer given is 0.69%, with or without calculations shown Do not award marks for a formula	**(2)**

Question number	What is meant by the term innovation? **Answer**	Mark
2(d)	**AO1 2 marks** Award up to 2 marks for a correct definition The commercial exploitation **(1)** of a new invention **(1)** **OR** Innovation is the process of improving/creating new products/ services/production methods **(1)** to increase efficiency/in the production process **(1)** Accept any other appropriate response	**(2)**

Question number	Describe **one** reason why a car mechanic is a factor of production. **Answer**	Mark
2(e)	**AO1 2 marks** Award 1 mark for reference to the reason and 1 mark for development of the reason	

Type MS · Privatisation: effects on stakeholders and the economy

Answer 17 of 19 · Question 2 part f · 3 marks

2025 JUN · Paper 01 · extract 3 of 6 · find part f in this mark scheme extract

	A car mechanic provides the service of repairing vehicles/machinery for use in production **(1)** therefore a car mechanic is labour **(1)** Accept any other appropriate response	**(2)**

Question number	Explain **one** possible disadvantage of this privatisation for other broadcasters in Argentina. **Answer**	**Mark**
2(f)	**AO2 3 marks** Award 1 mark for identifying a relevant disadvantage Award 1 mark for developing the disadvantage Award 1 mark for the response being in context • The newly privatised Radio Nacional will be under pressure to make a profit **(1)** meaning there would be more incentive to meet the needs of listeners of Radio Nacional. **(1)** This would increase competition for other broadcasters **(1)** Accept any other appropriate response	**(3)**

Type MS · Privatisation: effects on stakeholders and the economy

Answer 17 of 19 · Question 2 part f · 3 marks

2025 JUN · Paper 01 · extract 4 of 6 · find part f in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess the effectiveness of trade unions in increasing pay and improving working conditions for their members. **Indicative content**
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Trade unions can help raise wages and improve working conditions for workers by putting pressure on employers during negotiations • Mine workers have already been helped by the GMWU, in obtaining an increase in the monthly minimum wage to $500 • A higher rate of pay may lead to increased productivity from more motivated workers, making employers more likely to accede to the union's demands • The union has been supporting workers for 80 years and has over 16,000 members, meaning it could have a lot of influence on employers • This longevity and the ongoing pressure of GMWU on employers to improve health and safety, shows the union has been reasonably effective so far **AO4** • However, the need for further talks to protect mine workers' jobs shows GMWU membership may only be partially effective • Workers may not think it worth paying a membership fee to a trade union if it is unable to guarantee secure jobs • When wage rates increase, employers may not be able to afford to employ the same quantity of workers, thus meaning mine workers' jobs are at risk • Improving health and safety is likely to incur higher costs for mining firms • This means that the effectiveness of trade unions may depend on whether firms can pass on these increased costs through increased prices, such as when demand for products from mines is falling • The alternative may be reduced profit margins for the mining firms, meaning they would be less likely to agree to pay increases

Type MS · Privatisation: effects on stakeholders and the economy

Answer 17 of 19 · Question 2 part f · 3 marks

2025 JUN · Paper 01 · extract 5 of 6 · find part f in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Privatisation: effects on stakeholders and the economy

Answer 17 of 19 · Question 2 part f · 3 marks

2025 JUN · Paper 01 · extract 6 of 6 · find part f in this mark scheme extract

Question number	A free rider can be defined as an individual who does which **one** of the following? **Answer**	**Mark**

Type MS · Privatisation: effects on stakeholders and the economy

Answer 18 of 19 · Question 2 part e · 3 marks

2025 JUN · Paper 02 (regional R) · extract 1 of 6 · find part e in this mark scheme extract

2(a)	**AO1 1 marks** The only correct answer is: **C** increases with higher income levels A is not correct because this describes a flat tax system B is not correct because this describes a regressive tax system D is not correct because this does not happen in a progressive tax system	**(1)**

Question Number	A depreciation in a country's exchange rate is most likely to lead to **Answer**	Mark
2(b)	**AO1 1 mark** The only correct answer is: **A** increase in exports and a decrease in imports B is not correct because a depreciation would result in an increase in exports and a decrease in imports C is not correct because a depreciation would result in an increase in exports and a decrease in imports D is not correct because a depreciation would result in an increase in exports and a decrease in imports	**(1)**

Question Number	State **one** possible trade-off with inflation. **Answer**	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** possible trade-off • Higher unemployment • Lower economic growth • Worsening current account on the balance of payments Accept any other appropriate response	**(1)**

Type MS · Privatisation: effects on stakeholders and the economy

Answer 18 of 19 · Question 2 part e · 3 marks

2025 JUN · Paper 02 (regional R) · extract 2 of 6 · find part e in this mark scheme extract

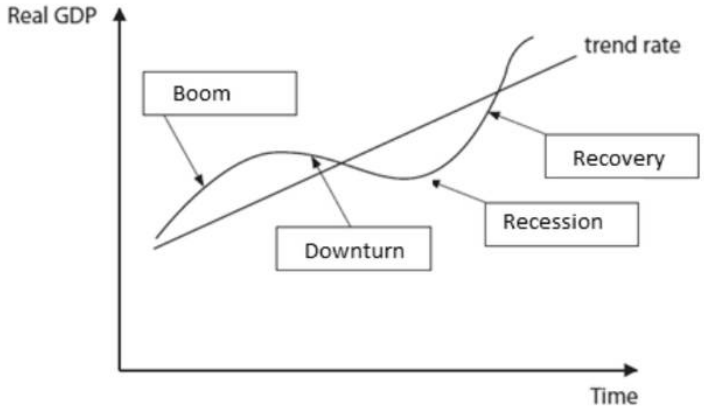
Question Number	What is meant by the term direct tax? **Answer**	Mark
2(d)	**AO1 2 marks** Award up to 2 marks for a correct definition A tax levied/imposed on individuals/firms **(1)** based on the level of income/profits **(1)** Accept any other appropriate response	**(2)**

Question Number	Explain **one** disadvantage of privatising the provision of school meals in North Tyneside. **Answer**	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant disadvantage Award 1 mark for developing the disadvantage Award 1 mark for the response being in context • One disadvantage is that school meals could become more expensive **(1)** this is because private firms aim to make a profit. **(1)** This can make it harder for some families to afford school meals for their children at school **(1)** • One disadvantage is that workers might be paid less. **(1)** Private firms often try to save money in order to make a profit. **(1)** This can negatively impact the quality of service/the well-being of existing employees **(1)** Accept any other appropriate response	**(3)**

Type MS · Privatisation: effects on stakeholders and the economy

Answer 18 of 19 · Question 2 part e · 3 marks

2025 JUN · Paper 02 (regional R) · extract 3 of 6 · find part e in this mark scheme extract

Question Number	Using the diagram below, label the remaining three stages of the economic cycle in the boxes on the diagram. **Answer**	Mark
2(f)	**AO2 3 marks** Award 1 mark for Boom, labelled Award 1 mark for Downturn, labelled Award 1 mark for Recession/slump/depression, labelled  	**(3)**

Type MS · Privatisation: effects on stakeholders and the economy

Answer 18 of 19 · Question 2 part e · 3 marks

2025 JUN · Paper 02 (regional R) · extract 4 of 6 · find part e in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the possible benefits to the environment of providing subsidies for solar-powered stoves in Rwanda. **Indicative content**	Mark
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • With subsidies making solar-powered stoves affordable, more people might change the way they cook • Shifting from firewood or coal to solar-powered stoves decreases carbon emissions, contributing to cleaner air and combating climate change • Solar-powered stoves produce no harmful smoke, leading to better indoor air quality and reducing respiratory illnesses linked to smoke inhalation from firewood or coal • Promoting solar-powered stoves encourages the use of renewable energy and reduces reliance on fossil fuels • Subsidies can make the transition to solar-powered stoves more economically feasible for families, reducing long-term costs associated with buying fuel **AO4** • However, the subsidies cost money, which could be used for other important things like schools or hospitals • If the subsidies end, the price of solar-powered stoves might increase reducing the number of people wanting to use them • Sometimes the people who need the help the most might not get it, or the subsidies might not support the best or most efficient stoves • Subsidies can interfere with normal market operations, potentially stopping firms from improving their stoves or reducing prices on their own • Some people might prefer their traditional way of cooking and not want to switch to solar-powered stoves, making the subsidies less effective • It can be hard to manage and keep track of the subsidy programme, leading to potential waste	**(9)**

Type MS · Privatisation: effects on stakeholders and the economy

Answer 18 of 19 · Question 2 part e · 3 marks

2025 JUN · Paper 02 (regional R) · extract 5 of 6 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Privatisation: effects on stakeholders and the economy

Answer 18 of 19 · Question 2 part e · 3 marks

2025 JUN · Paper 02 (regional R) · extract 6 of 6 · find part e in this mark scheme extract

Question Number	Which **one** of the following is a feature of being a member of a trading bloc? **Answer**	Mark

Type MS · Privatisation: effects on stakeholders and the economy

Answer 19 of 19 · Question 1 part d · 2 marks

2025 NOV · Paper 02 · extract 1 of 8 · find part d in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **C** A decrease in the general price level of goods and services over time A is not correct because this describes inflation B is not correct because rapid economic growth is associated with economic expansion, not deflation D is not correct because this describes a recession	**(1)**

Question Number	Which **one** of the following is an example of a supply-side policy? **Answer**	Mark
1(b)	**AO1 1 mark** The only correct answer is: **A** Investing in education and training B is not correct because this is an example of monetary policy C is not correct because this is an example of fiscal policy D is not correct because this is an example of a monetary policy	**(1)**

Type MS · Privatisation: effects on stakeholders and the economy

Answer 19 of 19 · Question 1 part d · 2 marks

2025 NOV · Paper 02 · extract 2 of 8 · find part d in this mark scheme extract

Question Number	What is meant by the term demand-pull inflation? Answer	Mark
1(c)	**AO1 2 marks** Award 2 marks for a correct definition Inflation caused by too much demand in the economy **(1)** relative to supply **(1)** **OR** Inflation caused by too much demand in the economy **(1)** causing a rise in the general price level **(1)** Accept any other appropriate response	**(2)**

Question Number	Describe **one** advantage of privatisation for a consumer. Answer	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to an advantage for a consumer and 1 mark for development of an advantage for a consumer One advantage is better-quality goods/services **(1).** Private companies often work harder to improve what they offer because they want to attract more consumers **(1)** Accept any other appropriate response	**(2)**

Type MS · Privatisation: effects on stakeholders and the economy

Answer 19 of 19 · Question 1 part d · 2 marks

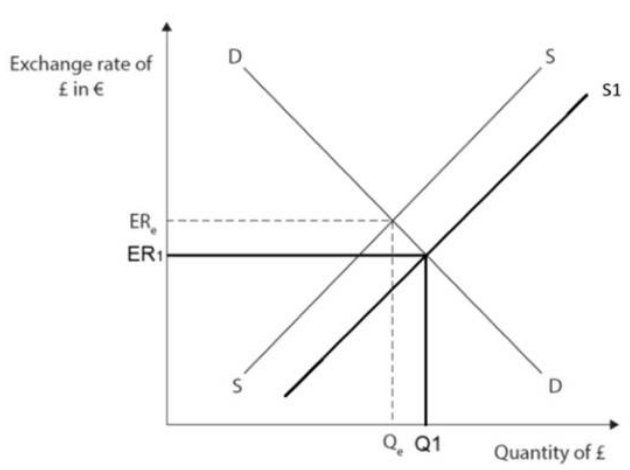
2025 NOV · Paper 02 · extract 3 of 8 · find part d in this mark scheme extract

Question Number	Calculate, to **two** decimal places, the country's **percentage rate of unemployment**. You are advised to show your working. **Answer**	Mark
1(e)	**AO2 2 marks** Award 1 mark for showing the calculation $\frac{550,000}{4,300,000} \times 100$ **(1)** Award 1 mark for the correct answer = 12.79% **(1)** Award 2 marks if the correct answer 12.79% is shown even if no calculations are shown Award 1 mark if the answer given is 12.79 even if no calculations are shown Do not award marks for the formula	**(2)**

Type MS · Privatisation: effects on stakeholders and the economy

Answer 19 of 19 · Question 1 part d · 2 marks

2025 NOV · Paper 02 · extract 4 of 8 · find part d in this mark scheme extract

Question Number	Using the diagram below, draw the likely effect of an increase in imports from Europe on the equilibrium exchange rate of the UK pound (£) against the euro (€). Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity. **Answer**	Mark
1(f)	**AO2 3 marks** Award 1 mark for a rightward shift of supply curve, labelled Award 1 mark for lower equilibrium exchange rate, labelled Award 1 mark for higher equilibrium quantity, labelled  	(3)

Type MS · Privatisation: effects on stakeholders and the economy

Answer 19 of 19 · Question 1 part d · 2 marks

2025 NOV · Paper 02 · extract 5 of 8 · find part d in this mark scheme extract

Question Number	Explain **one** advantage of free trade for a business in a country such as Iceland. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant advantage Award 1 mark for developing the advantage Award 1 mark for the response being in context • One advantage is lower input costs **(1).** Without tariffs or trade barriers, a business can source raw materials/components more cheaply from other countries **(1)** reducing production costs/increasing profitability **(1)** • One advantage is wider markets for a business **(1).** By removing trade barriers, a business can sell their products and services to more consumers **(1)** increasing their sales/potential for growth **(1)** Accept any other appropriate response	**(3)**

Type MS · Privatisation: effects on stakeholders and the economy

Answer 19 of 19 · Question 1 part d · 2 marks

2025 NOV · Paper 02 · extract 6 of 8 · find part d in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, analyse the advantages of deregulation for a country such as South Korea. **Indicative content**
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Deregulation encourages an environment where firms can experiment and innovate without being hindered by strict rules • Deregulation can lead to increased economic activity, as industries like AI and biotechnology expand • The creation of a regulation-free zone in South Korea can attract investment from AI and biotechnology firms which can lead to the creation of new jobs and economic expansion • By supporting AI and biotechnology firms, South Korea can diversify its economy and increase employment opportunities across various skill levels • South Korea can benefit from reduced unemployment rates and improved living standards for its citizens • This growth can contribute to a higher GDP, boosting the overall economic performance of South Korea

Type MS · Privatisation: effects on stakeholders and the economy

Answer 19 of 19 · Question 1 part d · 2 marks

2025 NOV · Paper 02 · extract 7 of 8 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Privatisation: effects on stakeholders and the economy

Answer 19 of 19 · Question 1 part d · 2 marks

2025 NOV · Paper 02 · extract 8 of 8 · find part d in this mark scheme extract

Question Number	Which **one** of the following describes a trade bloc? **Answer**	Mark